

Amazon.com, Inc.
AMZN NASDAQ

Neutral\$255.87▲1.58%

52-Week Range
\$196.00 – \$287.20

Market Cap
\$2.76T

No Material Overnight Updates

WHAT HAPPENED

- AMZN popped 1.6% today, snapping a 3-day slide. The real story: Oracle's earnings last night reminded the market how massive the AI infrastructure spend is — and AWS is the biggest player in that game. When Oracle guides up on cloud, it validates the whole hyperscaler thesis (hyperscaler = the handful of companies renting out massive computing power, basically AMZN, MSFT, GOOG, ORCL).
- Volume today was light (11M vs 25-33M recent days) — that means this bounce is more about short-covering and sentiment than big institutions piling in. Don't read too much into the size of the move.

WHY IT MATTERS

Here's the tell: the options market is loading up on near-term calls (put/call ratio 0.37, very call-heavy) — traders are betting AMZN grinds higher into September expiry, likely front-running the next AWS growth print. BUT insiders are quietly selling (CEO of Stores, SVP Zapolsky both dumped shares in the last two weeks) — that's not a red flag by itself since executives sell for tax/diversification reasons, but cluster selling deserves attention. The bigger picture: with Qualcomm signing an AWS deal to take on Nvidia, AMZN is positioning itself as the "neutral arms dealer" of AI compute — they'll host anyone's chips, which is a smart moat because it means they win regardless of which chipmaker dominates. Watch for AMZN to increasingly emphasize custom silicon (Trainium/Inferentia) as a margin story into year-end.

POLICY & POLITICAL WATCH

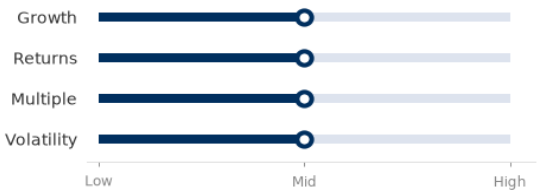
Two things on the radar: (1) The FTC's antitrust case against Amazon is still grinding through the courts — a trial-phase ruling could come in early 2027, and any structural remedy talk (like forcing them to spin off AWS) would crater the stock short-term but ironically unlock value long-term. (2) The Trump administration's push to reshore AI infrastructure with tax credits for domestic data centers is a direct tailwind — AMZN has already announced \$100B+ in US data center capex, so they're teed up to capture those credits. Also watch tariff headlines: any escalation on China hits their retail margins since a chunk of third-party sellers source from there.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$255.87
12M Price Target	—
Upside / (Downside)	—
Market Cap	\$2.76T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	—	—	—
6 Months	—	—	—
1 Year	—	—	—
2 Years	—	—	—
5 Years	—	—	—
10 Years	—	—	—

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.4%) and Comm Services (+1.2%) leading today — the AI infrastructure narrative got a shot in the arm from Oracle's numbers, and money is flowing back into names with clear AI monetization stories.

COOLING OFF: Consumer Discretionary is up today but down 3% on the week — tariff uncertainty and slowing consumer spending are weighing. That's a headwind for AMZN's retail side even as AWS carries the ball.

ROTATION WATCH: Money is rotating from defensive sectors (Real Estate, Financials underperforming on 5-day) into AI/tech beneficiaries. That's a tailwind for AMZN, but note the split: AWS wins, retail lags.

RELATED PLAY: If you believe the AI infrastructure story, the data center REITs (like EQIX, DLR) and power/utility plays (VST, CEG) benefit from the same spend. They're the landlords and power suppliers to the hyperscaler build-out.

WHO'S WINNING IN THIS SPACE?

- ORCL (Oracle): Ripping on cloud/AI guidance — proved that even a legacy database company can pivot to AI infrastructure and get rewarded.
- QCOM (Qualcomm): New AWS deal for AI chips — signals AMZN is diversifying beyond Nvidia, which is bullish for both companies' margins.

AMZN CONTEXT: AMZN is lagging the AI leaders on YTD basis but that's actually the opportunity — it's the "boring hyperscaler" that hasn't gotten the meme premium, so there's catch-up room if AWS numbers keep impressing. Being at 66% of its 52-week range while peers are near highs = relative value setup.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 7/10 — I like the setup but insider selling and antitrust overhang keep me from pounding the table.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. You want size here because the AI cloud thesis is a multi-year story, but leave room to add on dips.

ENTRY POINTS: Add on pullbacks to \$248-252 (recent support), back up the truck if it retests \$230 on macro fear.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is AWS growth reaccelerating above 20% and clarity on the FTC case.

WHEN TO BAIL: If AWS growth drops below 15% for two straight quarters, or if the FTC gets a favorable structural remedy ruling, I'm trimming aggressively.

HEDGING: Simplest hedge — buy some October \$240 puts (basically insurance that pays off if the stock drops below \$240). Costs a small premium but caps your downside if antitrust or macro news hits.